

FirstFT World

FirstFT: Citadel's Ken Griffin predicts US recession

Plus, Hurricane Ian ploughs into Florida and Britain's financial crisis deepens



'It's just a question of when and, frankly, how hard,' said Citadel founder Ken Griffin at a conference in New York © Christopher Dilts/Bloomberg

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Published SEP 28 2022 | Updated SEP 29 2022, 06:35

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Billionaire investor Ken Griffin has warned that there will be a recession in the US and said the Federal Reserve needed to do more to bring down inflation, days after the central bank increased its benchmark rate by 0.75 percentage points for the third time in a row.

“Everybody likes to forecast recessions and there will be one,” he said at CNBC’s Delivering Alpha conference in New York yesterday. “It’s just a question of when and, frankly, how hard.” A recession could happen as soon as next year, he added.

The founder of hedge fund Citadel and market maker Citadel Securities said increasing interest rates was an “awkward tool” to cool the economy but acknowledged the Fed was limited in what it could do to curb inflation.

Griffin joins a growing chorus of voices predicting pain for the US economy, including Fed chair Jay Powell, who last week said there was not a “painless way” to bring inflation under control.

The president of the Atlanta Fed, Raphael Bostic, yesterday [backed a fourth 0.75 percentage point rate rise](#) at the next policy meeting in November, followed by a half-point adjustment in December.

That would bring the federal funds rate from its current level of 3 per cent to 3.25 per cent to a new target range of 4.25 per cent to 4.5 per cent.

“The US economy still has a considerable amount of momentum,” Bostic told reporters.

Despite the gloomy outlook, Griffin said the Fed needed to stick with its campaign to tighten monetary policy. “We should continue on the path that we’re on to make sure that we re-anchor inflation expectations,” he said, so people do not start to treat inflation of 5 or 6 per cent as the norm.

Stanley Druckenmiller, a veteran of the hedge fund industry, speaking at the same conference, adopted an even gloomier stance. “We are in deep trouble,” he said, adding that he would be “stunned” if the US did not tip into a recession next year.

Do you think the Federal Reserve can engineer a “soft landing” for the US economy or do you think the country is heading into recession? Email me your thoughts to firstft@ft.com or hit reply on this email. I may feature some of your responses in a future edition of FirstFT Americas. Now for the rest of the day’s news — Gordon

Five more stories in the news

1. More than 2mn without power as Hurricane Ian batters Florida PowerOutage.us estimated that [more than 2mn people in Florida](#) were without power after Hurricane Ian ploughed into the south-west of the state. Florida governor Ron DeSantis warned that the storm [would continue to move across the state](#) today, causing “major, major impacts”.

Winds reached 150mph as the category 4 storm made landfall in Florida © AFP via Getty Images

2. Liz Truss vows to stick to tax-cutting plans despite market turmoil The British prime minister broke her silence today on the market turmoil that followed her government’s fiscal policy announcement last week. She promised [to stick to the policies](#) outlined by chancellor Kwasi Kwarteng to cut taxes. The Bank of England yesterday [took emergency action](#) to calm UK government bond markets, which had been alarmed by the scale of the government’s borrowing plans, threatening the solvency of some pension providers.

3. Russia to annex four regions of Ukraine The Kremlin has confirmed it will annex the four Russian-occupied regions in south-eastern Ukraine that held referendums last week. Ukraine and its western allies denounced the votes as “sham referenda” but the Kremlin confirmed a ceremony will be held tomorrow in Moscow to recognise the regions as part of Russia.

Explainer: The clamour to secure Europe’s energy infrastructure has accelerated after this week’s gas pipeline leaks. Here’s [what we know](#) about the damage.

4. Porsche shares rise on market debut The luxury car maker defied a global economic slowdown and febrile markets [to pull off one of Europe’s largest initial public offerings](#). Its shares rose on their first day of trading in Frankfurt. While in Hong Kong two of the year’s biggest IPOs [were less successful](#).

5. Paraguay calls for Taiwan to invest \$1bn to remain allies Paraguay’s president Mario Abdo Benítez has called on Taiwan [to invest \\$1bn in his country](#) to help him resist “enormous” pressure to switch diplomatic recognition to rival China. “We are working with the president of Taiwan . . . so that the Paraguayan people feel the real benefits of the strategic alliance,” Abdo told the Financial Times during a visit to the US.

The day ahead

Monetary policy San Francisco Fed president Mary Daly and Cleveland Fed president Loretta Mester will continue this week’s run of Fed officials making remarks. Daly will be in Idaho giving a policy address at Boise State University about inflation pains, the US central bank’s dual mandate, and what she thinks about the path forward. Mester will be speaking in Cleveland and provide remarks during a conference on inflation hosted by her bank. Separately, Mexico’s central bank is expected to lift its benchmark borrowing rate by 0.75 percentage points for a third consecutive time to 9.25 per cent, a record rate.

Economic data The US commerce department will release its final reading of second-quarter gross domestic product today, which is expected to remain unchanged from the previous figure of a 0.6 per cent contraction. The labour department will release jobless claims data for the week ending September 24. Economists expect applications for state unemployment benefits to tick up to 215,000 from 213,000 the previous week, according to Refinitiv.

Company earnings Sportswear maker Nike will report earnings for the first quarter of its fiscal year after the closing bell, providing the next significant corporate [insight after FedEx](#) into the effects of high inflation and a global economic slowdown on consumers. Bed Bath & Beyond is expected to report a loss in its second quarter, which ended in August in the first set of financial results since the [death of its chief financial officer](#).

US-Philippine talks US defence secretary Lloyd Austin and Philippine counterpart Jose Faustino Jr will join [bilateral military co-ordination talks](#) in Hawaii, the first time such senior figures have participated in the annual discussions. The two militaries also plan to double the scale of joint exercises next year.

What else we're reading

Xi Jinping's coronation looms China's government [is increasingly taking a back seat](#) to the man who has dominated it for the past decade: President Xi Jinping, who is set to secure a third term in power next month.

Plus: China's corruption probe [casts a shadow over the country's chip sector](#), following allegations of graft and wasteful spending.

The UK is unprepared for the heatwaves to come Heat — real heat, the type that forced you to cross the street for shade or keep your dog indoors — was once foreign in Britain. But this summer brought 40C temperatures, turning an occasional blessing into a curse. Henry Mance asks, [how will it change the country?](#)

Is Europe’s energy plan enough to get through winter? With temperatures dropping and Russian gas imports at a fraction of former levels, energy ministers are discussing a package of windfall taxes aimed at curbing energy prices. But a growing number of member states [warn that proposals do not go far enough](#) and risk sparking political unrest.

AI-driven justice may be better than none at all Countries are beginning to experiment with using artificial intelligence-driven algorithms to mete out court judgments, replacing humans with “robot judges” (although no robot is involved). While some fear automation could reinforce bias, [it could tackle backlogs](#), Jemima Kelly writes.

Why are musicians cancelling tours? This year was supposed to mark the triumphant return of concerts. But following the cancellation of live appearances by some of the world’s biggest performers — including Shawn Mendes, Justin Bieber and Adele — [the return to live shows is looking more precarious](#), writes Anna Nicolaou.

Sport

Satisfy is a frontrunner in a group of independent labels offering a design-led take on distance-wear. HTSI [rounds up the newcomers](#) in this increasingly popular area of sports clothing.

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